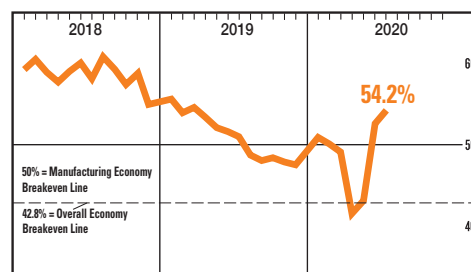


Economic activity in the manufacturing sector grew in July, with the overall economy notching a third consecutive month of growth, say the nation's supply executives in the latest Manufacturing ISM® *Report On Business*®.

The July PMI® registered 54.2 percent. The New Orders Index registered 61.5 percent, an increase of 5.1 percentage points from the June reading of 56.4 percent. The Production Index registered 62.1 percent, up 4.8 percentage points compared to the June reading of 57.3 percent. The Backlog of Orders Index registered 51.8 percent, an increase of 6.5 percentage points compared to the June reading of 45.3 percent. The Employment Index registered 44.3 percent, an increase of 2.2 percentage points from the June reading of 42.1 percent. The Supplier Deliveries Index registered 55.8 percent, down 1.1 percentage points from the June figure of 56.9 percent. Of the 18 manufacturing industries, 13 reported growth in July, in the following order: Wood Products; Furniture & Related Products; Textile Mills; Printing & Related Support Activities; Food, Beverage & Tobacco Products; Plastics & Rubber Products; Chemical Products; Apparel, Leather & Allied Products; Computer & Electronic Products; Primary Metals; Petroleum & Coal Products; Miscellaneous Manufacturing†; and Electrical Equipment, Appliances & Components. **ISM**

MANUFACTURING PMI® at 54.2%

Manufacturing grew in July, as the PMI® registered 54.2 percent, 1.6 percentage points higher than the June reading of 52.6 percent. “The PMI® signaled a continued rebuilding of economic activity in July and reached its highest level of expansion since March 2019, when the index registered 54.6 percent. Four of the big six industry sectors expanded. The New Orders and Production indexes returned to strong expansion levels. The Supplier Deliveries Index remained at a more normal level of tension between supply and demand. Seven of the 10 subindexes registered expansion, up from five in June,” says Fiore. A reading above 50 percent indicates that the manufacturing economy is generally expanding; below 50 percent indicates that it is generally contracting.



Manufacturing at a Glance

INDEX	Jul Index	Jun Index	% Point Change	Direction	Rate of Change	Trend* (months)
Manufacturing PMI®	54.2	52.6	+1.6	Growing	Faster	2
New Orders	61.5	56.4	+5.1	Growing	Faster	2
Production	62.1	57.3	+4.8	Growing	Faster	2
Employment	44.3	42.1	+2.2	Contracting	Slower	12
Supplier Deliveries	55.8	56.9	-1.1	Slowing	Slower	9
Inventories	47.0	50.5	-3.5	Contracting	From Growing	1
Customers' Inventories	41.6	44.6	-3.0	Too Low	Faster	46
Prices	53.2	51.3	+1.9	Increasing	Faster	2
Backlog of Orders	51.8	45.3	+6.5	Growing	From Contracting	1
New Export Orders	50.4	47.6	+2.8	Growing	From Contracting	1
Imports	53.1	48.8	+4.3	Growing	From Contracting	1
Overall Economy				Growing	Faster	3
Manufacturing Sector				Growing	Faster	2

*Number of months moving in current direction.

Manufacturing ISM® *Report On Business*® data is seasonally adjusted for the New Orders, Production, Employment and Inventories indexes.



Commodities Reported

Commodities Up in Price: Aluminum (2); Copper (2); Crude Oil (3); Diesel Fuel (2); High-Density Polyethylene; Lumber; Oil-Based Products; Plastic Products; Polypropylene; and Precious Metals.

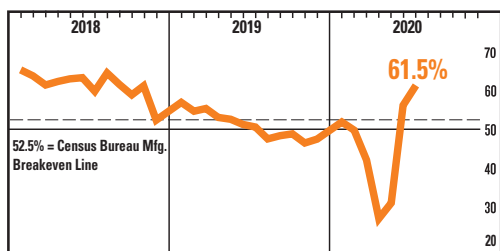
Commodities Down in Price: Diesel Fuel (5); Steel — Hot Rolled; and Steel Products (4).

Commodities in Short Supply: Alcohols; Personal Protective Equipment (PPE) (3); PPE — Gloves (5); PPE — Masks; and Sanitizers & Disinfectants (2).

†Miscellaneous Manufacturing (products such as medical equipment and supplies, jewelry, sporting goods, toys and office supplies).

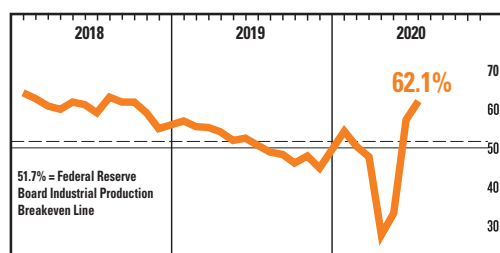
Manufacturing PMI®

Analysis by **Timothy R. Fiore, CPSM, C.P.M.**, Chair of the Institute for Supply Management® Manufacturing Business Survey Committee



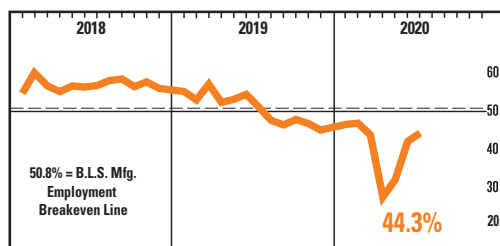
New Orders

ISM's New Orders Index registered 61.5 percent. Of the 18 manufacturing industries, the 13 that reported growth in new orders in July — in the following order — are: Wood Products; Furniture & Related Products; Primary Metals; Plastics & Rubber Products; Chemical Products; Electrical Equipment, Appliances & Components; Food, Beverage & Tobacco Products; Fabricated Metal Products; Petroleum & Coal Products; Miscellaneous Manufacturing†; Transportation Equipment; Computer & Electronic Products; and Machinery.



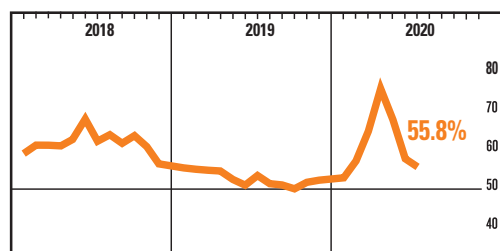
Production

The Production Index registered 62.1 percent. The 16 industries reporting growth in production during the month of July — listed in order — are: Primary Metals; Wood Products; Textile Mills; Furniture & Related Products; Printing & Related Support Activities; Plastics & Rubber Products; Chemical Products; Electrical Equipment, Appliances & Components; Food, Beverage & Tobacco Products; Computer & Electronic Products; Nonmetallic Mineral Products; Fabricated Metal Products; Paper Products; Machinery; Transportation Equipment; and Miscellaneous Manufacturing†.



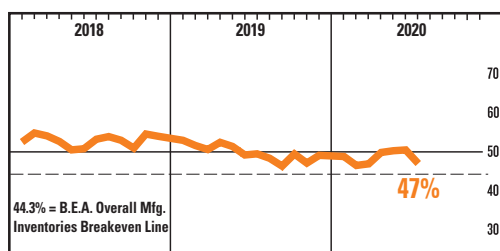
Employment

ISM's Employment Index registered 44.3 percent. Of the 18 manufacturing industries, the five industries to report employment growth in July are: Apparel, Leather & Allied Products; Printing & Related Support Activities; Furniture & Related Products; Plastics & Rubber Products; and Computer & Electronic Products.



Supplier Deliveries

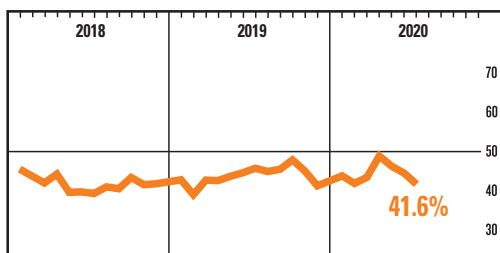
The delivery performance of suppliers to manufacturing organizations was slower in July, as the Supplier Deliveries Index registered 55.8 percent. Twelve of 18 industries reported slower supplier deliveries in July, listed in the following order: Textile Mills; Petroleum & Coal Products; Nonmetallic Mineral Products; Wood Products; Miscellaneous Manufacturing†; Furniture & Related Products; Paper Products; Computer & Electronic Products; Food, Beverage & Tobacco Products; Machinery; Chemical Products; and Fabricated Metal Products.



Inventories

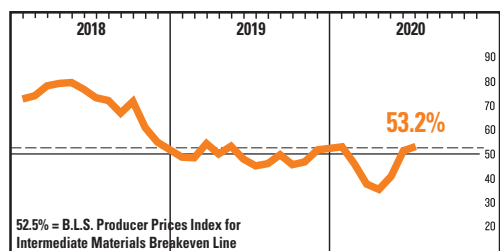
The Inventories Index registered 47 percent. The three industries reporting higher inventories in July are: Food, Beverage & Tobacco Products; Paper Products; and Miscellaneous Manufacturing†.

†Miscellaneous Manufacturing (products such as medical equipment and supplies, jewelry, sporting goods, toys and office supplies).



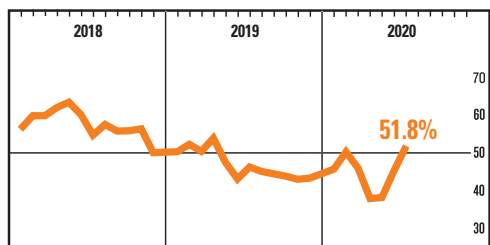
Customers' Inventories

ISM's Customers' Inventories Index registered 41.6 percent. Of the 18 industries, the two reporting higher customers' inventories in July are: Petroleum & Coal Products; and Furniture & Related Products.



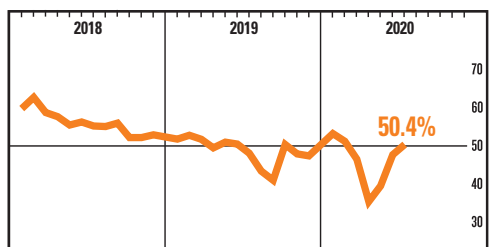
Prices

The ISM Prices Index registered 53.2 percent. The 10 industries reporting paying increased prices for raw materials in July — listed in order — are: Textile Mills; Primary Metals; Wood Products; Plastics & Rubber Products; Paper Products; Computer & Electronic Products; Food, Beverage & Tobacco Products; Chemical Products; Miscellaneous Manufacturing[‡]; and Machinery.



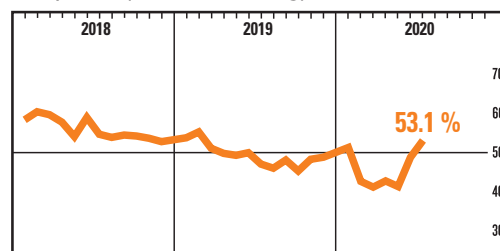
Backlog of Orders

ISM's Backlog of Orders Index registered 51.8 percent. The 10 industries reporting growth in order backlogs in July, in the following order, are: Wood Products; Plastics & Rubber Products; Primary Metals; Nonmetallic Mineral Products; Paper Products; Fabricated Metal Products; Food, Beverage & Tobacco Products; Chemical Products; Machinery; and Electrical Equipment, Appliances & Components.



New Export Orders

ISM's New Export Orders Index registered 50.4 percent. The six industries reporting growth in new export orders in July — in the following order — are: Furniture & Related Products; Wood Products; Computer & Electronic Products; Plastics & Rubber Products; Chemical Products; and Miscellaneous Manufacturing[‡].



Imports

ISM's Imports Index registered 53.1 percent. The 11 industries reporting growth in imports in July — in the following order — are: Apparel, Leather & Allied Products; Printing & Related Support Activities; Wood Products; Textile Mills; Fabricated Metal Products; Furniture & Related Products; Plastics & Rubber Products; Chemical Products; Electrical Equipment, Appliances & Components; Machinery; and Food, Beverage & Tobacco Products.

[‡]Miscellaneous Manufacturing (products such as medical equipment and supplies, jewelry, sporting goods, toys and office supplies).